

		done. ROA 104 Ex. 1(D). - Remove “Unopposed” from the document title. ROA 104 Ex. 1(D). Add “of Class Action Settlement” to the end of the document title. The footer should mirror the document title. - The court previously ordered that the order was not a “judgment.” ROA 94. The footer continues to reflect “and Judgment.” ROA 104 Ex. 1(D). - The court previously ordered that the settlement and any amendments should be identified and attached as exhibits. ROA 94. The amendment is not identified or purportedly attached. ROA 104 Ex. 1(D) at 1. - Remove footnote 2. - Paragraph 6 should also identify the amendment to the settlement. - The court previously ordered that the last sentence of paragraph 11 should be deleted. ROA 94. This has not been done. Delete the entire last sentence of paragraph 9 and do not supplement the paragraph. ROA 104 Ex. 1(D) ¶ 9. Plaintiff must file corrected versions of all revised documents, including redline versions reflecting all changes. The final approval hearing is scheduled for February 25, 2027, at 2PM in Department CX102. The motion for final approval shall be filed at least 16 court days before the hearing. Plaintiff is ordered to give notice and to file a proof of service.
111	Embee Inc vs. Safeco Insurance Company of America 2012-00586683	Motion for Summary Judgment and/or Adjudication Defendant Fireman’s Fund Insurance Company (Fireman’s Fund) moves for summary judgment, or in the alternative, summary adjudication, against the fourth amended complaint of plaintiff Embee, Inc. fka Embee Plating (Embee). ROA 1979. For the following reasons, defendant’s motion for summary judgment is granted. Legal standard A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna

Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, 25 Cal.4th at 850-51.

“[I]t is well established that the operative pleading frames the issues for purposes of summary judgment” Restivo v. City of Petaluma (2025) 111 Cal.App.5th 267, 279. “The pleadings delimit the issues to be considered on a motion for summary judgment. [Citation.] The defendant must present facts to negate each claim as framed by the complaint or establish a defense.” Turner v. State of California (1991) 232 Cal.App.3d 883, 891.

Analysis

Embee’s fourth amended complaint (4AC) alleges two causes of action against Fireman’s Fund: (1) breach of contract; and (2) breach of the covenant of good faith and fair dealing. ROA 1979. Embee alleges the Orange County Water District filed an action against Embee and others, seeking to “protect the groundwater resources of Orange County from toxic pollution.” 4AC, ¶ 8. Embee alleges the OCWD complaints “do not contain any specific allegations regarding any alleged release purportedly caused by Embee at the facility in question, such as any date or dates on which any alleged releases purportedly caused by Embee took place or how such alleged releases purportedly caused by Embee occurred” and “[i]nstead, the complaints contain only the broad, general allegations that ‘Embee released hazardous wastes.’” 4AC, ¶ 10.

Embee alleges “[o]n or about November 14, 2012, EMBEE and DTSC entered into a ‘Corrective Action Consent Agreement – Phase II’” and that “Embee has continued to incur costs related to the investigation of hazardous waste at its property pursuant to demands made by DTSC pursuant to this agreement.” 4AC, ¶ 11.

Embee alleges it “submitted certain costs to Fireman’s Fund with respect to costs incurred after May 31, 2017,” these submitted costs “represent defense costs, or indemnity costs, or both,” and that “Fireman’s Fund has refused to pay these defense costs, or indemnity costs, thereby breaching its duty to defend or indemnify the DTSC Proceedings and the OCWD action.” 4AC, ¶¶ 13-15.

Fireman’s Fund seeks summary judgment on the following grounds: (1) Embee’s breach of contract claim is barred “because Embee breached the no-voluntary-payments provision contained in the Primary Commercial General Liability Policy No. MXP 289 44 86 for the period of April 1, 1976 through April 1, 1979 (“Primary Policy”) and the Blanket Excess Liability Policy No. XLB 142 10 59 for the period of April 1, 1980 through April 1, 1981 and Blanket Excess Liability Policy No. XLB 145 59 77 for the period of April 1, 1981 through April 1, 1982 (collectively, “Blanket Excess Policies”); (2)

		Firemean’s Fund’s seventh affirmative defense of “Policy Terms, Conditions, and Exclusions – Prohibition Against Voluntary Payments” (ROA 1983) bars plaintiff’s claims “because Embee is not entitled to defense, indemnity, contribution, or any payment relating to the OCWD Action because Embee violated the prohibition against voluntary payments contained in the Primary Policy and the Blanket Excess Policies,”; and (3) Embee’s breach of the covenant of good faith and fair dealing claim is barred “because Embee is not entitled to policy benefits under the Primary Policy and the Blanket Excess Policies because Embee breached the no-voluntary-payments provisions contained in the Primary Policy and the Blanket Excess Policies.” Corrected Notice of Motion (ROA 2058) 2:11-25. The elements of a breach of contract cause of action are: (i) existence of the contract; (ii) plaintiff’s performance or excuse for nonperformance; (iii) defendant’s breach; and (iv) damage to plaintiff resulting therefrom. <i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811. “While insurance contracts have special features, they are still contracts to which the ordinary rules of contractual interpretation apply. . . . The fundamental goal of contractual interpretation is to give effect to the mutual intention of the parties. (Civ. Code, § 1636.) If contractual language is clear and explicit, it governs. (Id., § 1638.) On the other hand, “[i]f the terms of a promise are in any respect ambiguous or uncertain, it must be interpreted in the sense in which the promisor believed, at the time of making it, that the promisee understood it.’ This rule, as applied to a promise of coverage in an insurance policy, protects not the subjective beliefs of the insurer but, rather, ‘the objectively reasonable expectations of the insured.’” <i>Bank of the West v. Superior Court</i> (1992) 2 Cal.4th 1254, 1264-65. As stated above, Embee alleges in the 4AC that Fireman’s Fund has not paid certain defense costs or indemnity costs and thus, Fireman’s Fund has breached its duty to defend or indemnify the DTSC Proceedings and the OCWD action. The court addresses below the duty to defend and duty to indemnify under each of the applicable policies in each of the two proceedings. DTSC Proceedings 1. Primary Policy - Commercial General Liability Policy No. MXP 289 44 86 for the period of April 1, 1976 through April 1, 1979 <i>Duty to Indemnify</i> This court (Judge Gail A. Andler) previously granted Fireman’s Fund’s motion for summary adjudication on the issue of Fireman’s Fund’s “duty to indemnify Embree against the claims brought by DTSC as these policies limit Fireman’s indemnity obligation to all sums which Embee shall be obligated to pay as damages.” 8/12/16 Order (ROA 847) at 2-3.
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	Thus, Fireman’s Fund has no duty to indemnify plaintiff in the DTSC Proceedings under the Primary Policy. <i>Duty to Defend</i> “The duty to defend arises when the insured tenders defense of the third party lawsuit to the insurer.” Foster-Gardner, Inc. v. Nat’l Union Fire Ins. Co. (1998) 18 Cal.4th 857, 886, as modified (Sept. 23, 1998). This court (Judge Lon F. Hurwitz) previously found “there was never a ‘claim’, ‘suit’, ‘administrative proceeding’, or threat of enforcement by DTSC as against Embee relating to, or arising from, the DTSC Proceeding. 9/13/23 Statement of Decision (ROA 1761) at 39. Because the DTSC Proceeding was never “a claim, suit, administrative proceeding, or threat of enforcement by DTSC,” Fireman’s Fund has no duty to defend plaintiff in the DTSC Proceedings under the Primary Policy. 2. Blanket Excess Policies - Blanket Excess Liability Policy No. XLB 142 10 59 for the period of April 1, 1980 through April 1, 1981 and Blanket Excess Liability Policy No. XLB 145 59 77 for the period of April 1, 1981 through April 1, 1982 <i>Duty to Indemnify and Duty to Defend</i> After a one-day bench trifurcated trial on Embee’s cause of action for declaratory relief, this court (Judge Lon F. Hurwitz), relying on the prior findings and rulings of Judges Andler and Sanders, found that “there was never any possibility that there would be coverage for indemnity under the subject Excess Liability Policies in the DTSC Proceeding” and “[b]ecause there was never any possibility of indemnity coverage under the Excess Liability Policies for the DTSC Proceeding, FFIC never had a Duty to Defend Embee in the DTSC Proceeding.” 9/13/23 Statement of Decision (ROA 1761) at 38-39. This court also found, “Based upon the absence of any Duty to Defend Embee for the DTSC Proceeding, there is no duty or obligation for FFIC to reimburse costs, investigative or otherwise, or any other expenditure incurred by Embee, in the DTSC Proceeding.” Id. at 40-41. Accordingly, Fireman’s Fund has no duty to indemnify or duty to defend plaintiff in the DTSC Proceedings under the Blanket Excess Policies. OCWD Action The following material facts are not in dispute: • The Primary Policy contains Condition No. 4 regarding the Insured’s Duties in the Event of Occurrence, Claim, or Suit, which provides that: “The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any
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		expense other than for first aid to others at the time of accident.” UMF 2. - Blanket Excess Liability Policy No. XLB 142 10 59 and Policy No. XLB 145 59 77 contain a condition that: “[Embee] shall not at any time make or authorize an admission of liability or attempt to settle or otherwise dispose of any claim or suit without the written consent of [Fireman’s Fund].” UMF 6. - On November 14, 2012, Embee entered into a Corrective Action Agreement – Second Phase with the DTSC. UMF 12. - On December 10, 2012, Embee wrote to Fireman’s Fund for the first time demanding payment for over \$2 million in costs related to the Consent Agreements. UMF 13 and 14. - This court (Judge Lon F. Hurwitz) found that Embee voluntarily entered into the 2001 and 2012 DTSC consent agreements and without Fireman’s Fund’s knowledge or consent. UMF 34. - On January 22, 2020, Embee reached a settlement in the underlying OCWD Action with the OCWD, which released all claims by the OCWD against Embee relating to the Site. Joint Separate Statement of Material Facts in Support of Fireman’s Fund’s Motion for Summary Judgment or in the Alternative, Summary Adjudication (ROA 2053) UMF 18. - In conjunction with the settlement between Embee and OCWD, in January 2020, Embee and its insurers, including Fireman’s Fund, entered into a settlement agreement to fund a large portion of the settlement of the OCWD Action. UMF 19. - The costs at issue being sought by Embee are for costs incurred and invoiced after May 31, 2017. UMF 36. - Fireman’s Fund has paid each Stantec invoice it received from David Wood for work Stantec performed for Wood Smith in the defense of the OCWD Action. UMF 23. - Fireman’s Fund (and other insurance companies) have paid all of Wood Smith’s defense fees in defense of the OCWD Action. UMF 24. - Fireman’s Fund (and other insurance companies) have paid all of the expert costs for the expert retained in the defense of OCWD action. UMF 25. - None of the activities performed by Stantec since 2017 are related to the OCWD Action. UMF 28. As plaintiff does not dispute the material fact that Fireman’s Fund, along with other insurance companies, funded a large portion of the
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	settlement of the OCWD Action (UMF 19), Fireman’s Fund has met its burden of establishing there are no triable issues of fact that Fireman’s Fund did not breach its duty to indemnify under the Primary Policy and the Blanket Excess Policies in the OCWD Action. <i>Accordingly, the remaining issue to be resolved, and as stated repeatedly in plaintiff’s opposition, is Fireman’s Fund’s duty to defend, including payment of defense costs incurred, in the OCWD Action. See Opp. (ROA 2026) at 15:2-3;7-8 (“The upcoming trial concerns defense costs incurred in the OCWD lawsuit, not defense costs in the DTSC matter.”); see also id. at 16:3-4 (“The issue for trial is whether Embee can recover its defense costs incurred for the OWCD Lawsuit.”).</i> 1. Primary Policy The Primary Policy issued by Fireman’s Fund contains the following provision: “The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any expense other than for first aid to others at the time of accident.” UMF 2. Fireman’s Fund contends Embee’s claim for indemnity and defense costs under the Primary Policy is barred by this “no-voluntary-payments” (NVP) provision. “California law enforces such no-voluntary-payments provisions in the absence of economic necessity, insurer breach, or other extraordinary circumstances. [Citations.] They are designed to ensure that responsible insurers that promptly accept a defense tendered by their insureds thereby gain control over the defense and settlement of the claim. That means insureds cannot unilaterally settle a claim before the establishment of the claim against them and the insurer’s refusal to defend in a lawsuit to establish liability. As the Supreme Court has recognized, the decision to pay any remediation costs outside the civil action context raises a ‘judgment call left solely to the insurer....’ [Citation.] In short, the provision protects against coverage by fait accompli.” Jamestown Builders, Inc. v. Gen. Star Indem. Co. (1999) 77 Cal.App.4th 341, 346; see also Pitzer College (2019) 5 Cal.5th 93, 108, citing Jamestown. In Santa Clara Valley Water Dist. v. Century Indemnity Co. (2023) 89 Cal.App.5th 1016, the NVP provision at issue was similar to the NVP provision contained in the Primary Policy issued by Fireman’s Fund: “[t]he [insured] shall not, except at [its] own cost, voluntarily make any payment, assume any obligation or incur any expense...” Id. at 1028. Santa Clara Valley Water District involved a consent decree entered into between the insured water district and the United States Fish and Wildlife Service arising out of allegations of mercury contamination. The Water District provided Century Indemnity Co. with “notice of claims asserted against it by the United States of America and the State of California regarding alleged natural resource damages concerning mercury impacts in the Guadalupe River Watershed.” Id. Neither the claim letter nor its enclosures indicated
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		the existence of a lawsuit, and it was undisputed that there was no lawsuit until years later. Id. Century subsequently stated in a letter that it had no duty to defend the Water District under the primary policies because “no lawsuit had been filed.” Id. Approximately four years later, the Water District entered into a consent decree with the U.S. Fish and Wildlife Service and a federal action was filed against the Water District and other entities. Id. at 1029. The executed consent decree was filed in the federal action and in it, the Water District agreed to fund, commence, and complete certain work specified in the consent decree. The Water District did not advise Century of the filing of the action or the filing and execution of the consent decree until 33 months later. Id. The Water District filed suit for breach of contract and breach of covenant of good faith and fair dealing against Century. The trial court granted Century’s motion for summary adjudication, finding that Century had met its burden as the moving party of showing, based upon application of the NVP provisions of the two excess policies, that it had no obligation to indemnify the District. Id. at 1032. The appellate court upheld the granting of summary adjudication as “[t]he evidence was undisputed that the District, in fact, voluntarily assumed obligations as provided in the Consent Decree and made payments and incurred expenses pursuant to that agreement without the knowledge, involvement, or approval of Century.” Id. at 1038. The court further stated: “The fact that the insured's settlement made without the participation or approval of the insurer was in the form of a consent decree does not alter our conclusion that the NVP provisions of the excess policies applied in this case. As the California Supreme Court has explained, “ ‘[B]ecause their terms are arrived at through mutual agreement of the parties, consent decrees ... closely resemble contracts.’ [Citation.] ... ‘Indeed, it is the parties' agreement that serves as the source of the court's authority to enter any judgment at all.’ [Citation.] ‘More importantly, it is the agreement of the parties, rather than the force of the law upon which the complaint was originally based, that creates the obligations embodied in a consent decree.’ [Citation.]” (Aerojet-General Corp. v. Transport Indemnity Co. (1997) 17 Cal.4th 38, 66–67 [70 Cal.Rptr.2d 118, 948 P.2d 909], fn. omitted (Aerojet-General).) The Consent Decree here was, as described in the document, a “settlement.” It was, by the District's admission, “heavily negotiated by the District's counsel.” Although the settlement by the Trustees and the District took the form of a consent decree, this did not alter the fact that it was an agreement to settle a third party claim without the consent of the insurer. Concluding that this agreement, because it took the form of a consent decree, was not subject to the NVP provisions of the excess policies “would be a triumph of form over substance.” (Grupe Development Co. v. Superior Court (1993) 4 Cal.4th 911, 921 [16 Cal.Rptr.2d 226, 844 P.2d 545]; cf. AIU Ins. Co. v. Superior Court (1990) 51 Cal.3d 807, 840 [274 Cal.Rptr. 820, 799 P.2d 1253])
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[rejecting interpretation of CGL insurance policy that would “exalt form over substance”].)”

Id. at 1039-40.

Here, similar to Santa Clara Valley Water District, Embee entered into the November 2012 “Corrective Action Agreement – Second Phase” with the DTSC without the knowledge, involvement, or approval of Fireman’s Fund and Embee sought reimbursement for costs incurred pursuant to the consent agreements after Embee had voluntarily entered into the DTSC consent agreements without Fireman’s Fund’s knowledge . UMF 12, 13, 14, 34.

Embee’s argument that the NVP provision in the Primary Policy is “ambiguous because it does not have a consent provision and because the meaning of ‘voluntary payment’ is unclear” is unpersuasive as the authorities on which plaintiff relies are distinguishable. In *Shell Oil Co. v. Nat’l Union Fire Ins. Co.* (1996) 44 Cal.App.4th 1633, the court observed that it was “unclear” whether the NVP provision included pre-tender defense costs. Id. at 1648. Here, Embee seeks reimbursement of defense costs incurred after May 31, 2017, after Embee first requested payment of expenses from Fireman’s Fund. UMF 14., 36. Similarly, in *Fiorito v. Superior Court* (1990) 226 Cal.App.3d 433, the issue was the “voluntariness” of the insureds’ actions in incurring pre-tender expenses, i.e., retaining counsel “to take actions necessary to protect their legal interests in the suit,” when the insureds were in the process of identifying the insurance policies. Id. at 438-39. This is not the factual scenario here.

Plaintiff contends Fireman’s Fund waived its right “to withhold its consent to the 2012 DTSC consent agreement” when Fireman’s Fund “denied coverage in 2008 for the DTSC matter” and for a second time, “denied coverage under the excess policies in 2011.”

“[W]aiver is the intentional relinquishment of a known right after knowledge of the facts.” [Citations.] The burden ... is on the party claiming a waiver of a right to prove it by clear and convincing evidence that does not leave the matter to speculation, and “doubtful cases will be decided against a waiver” [citation].’ [Citations.] The waiver may be either express, based on the words of the waiving party, or implied, based on conduct indicating an intent to relinquish the right. [Citation.]” (Waller, supra, 11 Cal.4th at p. 31, 44 Cal.Rptr.2d 370, 900 P.2d 619.) In the insurance context, “ ‘a waiver exists whenever an insurer intentionally relinquishes its right to rely on the limitations provision. [Citation.]’ [Citation.] Whether a waiver has occurred depends solely on the intention of the waiving party. [Citation.]” (Velasquez v. Truck Ins. Exchange (1991) 1 Cal.App.4th 712, 722 [5 Cal.Rptr.2d 1] (Velasquez).)” Santa Clara Valley Water Dist., supra, 89 Cal.App.5th at 1055.

Plaintiff did not present any, much less clear and convincing, evidence supporting its claim that Fireman’s Fund waived enforcement of the

NVP provision. In Fireman’s Fund’s August 8, 2008 letter agreeing to defend Embee in the OCWD Action under the Primary Policy subject to a reservation of rights, The letter states: “Any separate administrative requests, demands or orders against Embee, Inc. from the California Regional Water Quality Control Board or any other Federal, State or local agency do no constitute a suit under the subject policies, and therefore FFIC denies any obligation to defend or indemnify Embee, Inc. regarding any such requests, demands or orders.” UMF 11; Markos Decl. (ROA 1966) Ex. O (at 5). The letter also states: “FFIC's investigation, defense, negotiation, settlement or any other acts or inaction of FFIC in regard to the tendered complaint shall not be construed as a waiver of any of FFIC's rights under the above-captioned policies or applicable law nor as an admission of any obligation thereunder. FFIC's agreement to participate in the defense should not be viewed as a waiver of its coverage defenses and no estoppel is intended or should be inferred.” Id. at 2.

As this court (Judge Lon F. Hurwitz) has already determined that the DTSC Proceeding was not a “claim, suit, administrative proceeding or threat of enforcement by DTSC,” it cannot be said that the DTSC Proceeding was a “separate administrative request, demand or order” to which Fireman’s Fund’s alleged denial of coverage applies. Moreover, the 2008 letter does not support a claim of waiver because Embee had not yet signed the 2012 DTSC consent agreement. See Santa Clara Valley Water District, supra, 89 Cal.App.5th at 1056 (finding that “since the NVP provisions were not implicated in this instance until four years later (in 2005)—when the District signed the Consent Decree (of which fact Century wasn't aware until 2008)—the May 31, 2001 letter does not support a claim of waiver”).

Plaintiff further argues that after Embee sought coverage under the Blank Excess Policies in 2011, Fireman’s Fund’s alleged “failure to affirm or deny coverage in 2011 and 2012 is a denial of coverage” and that such denial supports a finding of waiver of the NVP provision. Opp. (ROA 2026) 12:15-16; see also id. at 11:21-23 (“This denial of coverage in 2011 was a second denial of coverage which freed Embee, yet again, to sign the Consent Agreement on November 14, 2012, without losing insurance coverage.”). Plaintiff again failed to present any evidence that Fireman’s Fund’s alleged failure to affirm or deny coverage under the Blanket Excess Policies constitutes a waiver of the NVP provision. In addition, as stated above, this court (Judge Lon F. Hurwitz) has already found there was no duty to indemnify or defend Embee in the DTSC Proceeding under the Blanket Excess Policies. 9/13/23 Statement of Decision (ROA 1761) at 38-39.

Embee argues Fireman’s Fund waived the applicability of the NVP provision when Fireman’s Fund paid for some of the DTSC costs in 2016 to 2022. Embee contends it relied on Fireman’s Fund’s conduct to believe that “Embee could incur costs and be reimbursed for them without being accused of making a ‘voluntary payment.’” Per the August 4, 2014 letter from Fireman’s Fund, defendant agreed “to provide a defense of the DTSC claims to Embee under the Umbrella

		Policies while FFIC continues to investigate this matter pursuant to a reservation of its rights under the Umbrella Policies and applicable law.” Markos Decl. (ROA 1966) Ex. P (at 11). The letter further states, “FFIC's investigation, defense, negotiation, settlement, or any other acts or inaction of FFIC in regard to the tendered DTSC claims shall not be construed as a waiver of any of FFIC's rights under the Umbrella Policies or applicable law nor as an admission of any obligation thereunder. FFIC's agreement to provide a defense should not be viewed as a waiver of its coverage defenses and no estoppel is intended or should be inferred. be construed as a waiver of any of FFIC’s rights under the Umbrella Policies or applicable law nor as an admission of any obligation thereunder. FFIC’s agreement to provide a defense should not be viewed as a waiver of its coverage defenses and no estoppel is intended or should be inferred.” Id. As Fireman’s Fund had agreed to defend Embee in the DTSC claims subject to a reservation of rights, Fireman’s Fund’s payment of some of the defense costs was consistent with its coverage position. Notwithstanding the unambiguous language of Fireman’s Fund’s August 4, 2014 letter regarding its acceptance of the defense in the DTSC claims subject to a reservation of rights, there is no evidence demonstrating that Fireman’s Fund ever made any intentional relinquishment of their coverage defenses at any point. See <i>Ringler Associates Inc. v. Maryland Cas. Co.</i> (2000) 80 Cal.App.4th 1165, 1189 (“[T]here is no evidence respondents ever made any intentional relinquishment of their coverage defenses at any point, despite initially accepting Ringler's tender of defense and funding that defense for two years. There is therefore no evidentiary basis for any claim of waiver.”). To the extent Embee is contending that Fireman’s Fund is estopped from applying the NVP provision because of its payment of some costs in the DTSC Proceeding, the court does not find that argument persuasive. “The elements of the [equitable estoppel] doctrine are that: (1) the party to be estopped must be apprised of the facts; (2) he [or she] must intend that his [or her] conduct shall be acted upon, or must so act that the party asserting the estoppel has a right to believe it was so intended; (3) the other party must be ignorant of the true state of facts; and (4) he [or she] must rely upon the conduct to his injury. [Citation.]” (<i>Strong v. County of Santa Cruz</i> (1975) 15 Cal.3d 720, 725 [125 Cal.Rptr. 896, 543 P.2d 264].) The party asserting the estoppel defense bears the burden of proving its application. (<i>Busching v. Superior Court</i> (1974) 12 Cal.3d 44, 53 [115 Cal.Rptr. 241, 524 P.2d 369].) Further, estoppel is shown only if the detrimental reliance was reasonable. [Citation.]” <i>Santa Clara Valley Water Dist.</i>, supra, 89 Cal.App.5th at 1052–53. Plaintiff presents no evidence establishing any of these elements. Accordingly, defendant has met its burden in establishing there are no triable issues of fact as to Embee’s claim for breach of duty to defend
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		under the Primary Policy is barred by the NVP provision and plaintiff failed to raise any triable issues of material facts. 2. Blanket Excess Policies The Blanket Excess Policies contain the following provision: “The insured shall cooperate with the primary insurers as required by the terms of the primary policies and comply with all terms and conditions thereof[.]” UMF 7. The primary policy that was in effect at the time of the Blanket Excess Policies was a policy issued by Safeco Insurance Company (“Safeco”) Policy No. SCC 835-175, for the period of April 1, 1979 until cancellation. UMF 3. The Safeco Policy contains the following provision: “The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any expense other than for first aid to others at the time of accident.” UMF 4. For the same reasons set forth above, the NVP provision in the Safeco Policy is enforceable and thus, bars Embee’s claim for breach of duty to defend under the Blanket Excess Policies in the OCWD action. Embee argues that “the defense of the [OCWD] lawsuit and the defense of the DTSC matter were inextricably intertwined,” the outstanding defense costs were incurred in the OCWD lawsuit, and thus, Fireman’s Fund “has a duty to defend the OCWD Lawsuit.” Opp. (ROA 2026) 15:2-10. While it is true that site investigation costs can in certain situations constitute defense costs that are included in the insurer’s duty to defend pursuant to <i>Aerojet-General Corp. v. Transport Indemnity Co.</i> (1997) 17 Cal.4th 38, plaintiff has not established the requisite factors set forth in <i>Aerojet</i>: “First, the site investigation must be conducted within the temporal limits of the insurer's duty to defend, i.e., between tender of the defense and conclusion of the action. Second, the site investigation must amount to a reasonable and necessary effort to avoid or at least minimize liability. Third and final, the site investigation expenses must be reasonable and necessary for that purpose.” <i>Id.</i> at 61. Neither the opposition nor plaintiff’s Separate Statement in Support of Opposition to the Motion for Summary Judgment does plaintiff identify the evidence, i.e., the material facts, supporting its contention that the incurred site investigation costs could be deemed as defense costs that are included in Fireman’s Fund’s duty to defend Embee in the OCWD action. Embee presents no evidence supporting its position that the defense of the OCWD action and the DTSC Proceedings were “inextricably intertwined,” or that the defense costs at issue are in fact defense costs incurred in the OCWD action. Moreover, Embee does not dispute the material facts that all of the defense costs in the OCWD Action have been paid by Fireman’s Fund (and other insurance companies) (UMF 24 and 25) and that none of the activities performed by Stantec since 2017 that are the subject of the outstanding invoices alleged in the
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	operative fourth amended complaint are in fact related to the OCWD Action. UMF 28. In sum, Fireman’s Fund has met its burden of establishing there are no triable issues of fact regarding: (1) Fireman’s Fund’s lack of duty to indemnify and duty to defend under the Primary Policy in the DTSC Proceeding; and (2) Fireman’s Fund’s lack of duty to indemnify and duty to defend under the Blanket Excess Policies in the DTSC Proceedings. Fireman’s Fund also met its burden of establishing there are no triable issues of fact that Fireman’s Fund did not breach its duty to indemnify under the Primary Policy and the Blanket Excess Policies in the OCWD Action. Fireman’s Fund also met its burden of demonstrating there are no triable issues of fact that Embee’s claim for defense costs under the Primary Policy and the Blanket Excess Policies is barred by the applicable NVP provisions. Where a plaintiff “has no viable breach of contract claim against [defendant]... his claim for bad faith denial of insurance benefits fails as a matter of law.” Behnke v. State Farm General Ins. Co. (2011) 196 Cal.App.4th 1443, 1470. As plaintiff’s breach of contract claim fails, the second cause of action for breach of the covenant of good faith and fair dealing also fails as a matter of law. Accordingly, summary judgment in favor of Fireman’s Fund is granted. Defendant’s Request for Judicial Notice (ROA 2014) is denied as the document was not material to the disposition of the motion. The court rules on defendant’s evidentiary objections (ROA 2041) as follows: Objection Nos. 16 through 20 (portions of the December 28, 2024 Declaration of Angus McGrath): Sustained as the court previously sustained them in the 5/22/25 order denying plaintiff’s motion for summary adjudication (ROA 1916). Objection No. 21 – Sustained; Objection No. 22 – Overruled; Objection No. 23 – Overruled; Objection No. 24 – Overruled; Objection No. 25 – Overruled. The remainder of defendant’s objections were not material to the disposition of the motion. Plaintiff Embee to give notice.
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112	Fosamax/Alendronate Sodium Drug Cases JCCP 4644	Motion to Establish the Settlement Fund and to Appoint Administrator A Consent Motion to Establish the Fosamax III Qualified Settlement Fund and to Appoint Administrator has been filed by Steven J. Skikos, Esq. and Daniel S. Robinson, Esq., as Lead Counsel for Plaintiffs. (ROA #8842.) The motions seek an order (1) establishing a qualified settlement fund pursuant to Internal Revenue Code section 468B and 26 C.F.R. § 1.468B-1, to be called the “Fosamax II Qualified Settlement Fund” (the “Fund”) and (2) appointing Edgar C. Gentle, III as the Claims Administrator, Lien Administrator, and Fund Administrator for the Fund. A proposed order has been submitted at ROA #8834. The Court has reviewed the moving papers and has the following concerns: 1. Plaintiffs and Defendants agree that their settlement and settlement agreement shall remain confidential. Accordingly, the settlement agreement has not been submitted for review by the Court. As the motion and proposed order both include a lot of details about the fund and its management, the Court must review the settlement agreement to ensure that there are no terms or conditions that would (a) conflict with the terms of the detailed proposed order sought by moving counsel and/or (b) undermine the purposes of Internal Revenue Code section 468B or 26 C.F.R. § 1.468B-1 in permitting the establishment of qualified settlement funds. Counsel may submit the settlement agreement to the Court for in camera review. 2. The motion is not supported by any sworn declarations or competent evidence, including on Mr. Gentle’s qualifications to serve as the Claims, Lien, and Fund Administrator. The motion simply states: “Plaintiffs’ Counsel named in the Agreements request that the Court approve the engagement and appointment of attorney Edgar C. Gentle, III as the Administrator. The Administrator possesses extensive experience in administering Qualified Settlement Funds, and in serving as Claims Administrator, Lien Administrator, and Fund Administrator. His firm address is as follows: Gentle, Turner, & Benson, LLC, 501 Riverchase Parkway East, Suite 100, Hoover, Alabama 35244. The Administrator submits personally to the jurisdiction of this Court.” Likewise, there is no information on Huntington National Bank. <i>There is also no information regarding the fee arrangement other than stating it is “to be negotiated.”</i> 3. The motion at ¶ 15 and proposed order at ¶ 6 contemplate that the Fund may have an “investment advisor” but nowhere does the motion or proposed order include any guidelines on the selection and hiring of such an advisor.
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In contrast, for example, the motion at ¶ 10 provides that “[t]he Fund, by and through the Administrator, may purchase and assign any structured settlements created under any settlement Agreements and releases. Any structured settlement annuity contract shall be issued by a life insurance company that is rated A+ or better by A.M. Best Company.”

4. The motion at ¶ 11 provides that “[t]he Plaintiffs shall agree in writing to a discharge of the Fund and the Administrator’s liabilities in the making of any structured settlement payments, also known as periodic payments, by executing, along with the Administrator, any necessary documents required or related to the discharge of those liabilities.” But there are no limitations to this “discharge of the Fund and the Administrator’s liabilities.” But what if the Administrator acts with gross negligence or willful misconduct in carrying out these duties?

This is in contrast to ¶ 13 of the motion, which provides: “The Administrator shall be indemnified and held harmless by the Plaintiffs from any claims made by any alleged lienholder, or other person or entity that attempts to assert a right of payment, reimbursement or garnishment related to the Plaintiffs against the Fund. Should the Administrator be named as a party to, or threatened to be made a party to, any threatened, pending or completed action, suit or proceeding of any kind, whether civil, administrative or arbitral, and whether brought by or against or otherwise involving the Fund, by reason of the Administrator having served in any capacity on behalf of the Fund, the Administrator shall be indemnified and held harmless by the Plaintiffs against reasonable expenses, costs and fees (including attorney fees), judgments, awards, costs, amounts paid in settlement, and liabilities of all kinds incurred by the Administrator in connection with or resulting from such actual or threatened action, suit or proceeding; *except to the extent that it is finally determined by this Court that the Administrator was negligent or acted with willful misconduct in connection with the administration of this Fund.*” (Emphasis added.)

The motion at ¶ 14 also provides: “Plaintiffs’ Counsel shall be indemnified and held harmless by the Administrator from any claims *which arise from the negligence or willful misconduct of the Administrator as determined by this Court.* Should Plaintiffs’ Counsel be named as a party to, or threatened to be made a party to, any threatened, pending or complete action, suit or proceeding of any kind, whether civil, administrative or arbitral, *by reason of the Administrator’s negligence or willful misconduct,* Plaintiffs’ Counsel shall be indemnified and held harmless by the Administrator against

		reasonable expenses, costs and fees (including attorney fees), judgments, awards, costs, amounts paid in settlement, and liabilities of all kinds incurred by Plaintiffs’ Counsel in connection with or resulting from such actual or threatened action, suit, or proceeding. Plaintiffs’ Counsel agrees to indemnify Defendants for any claims asserted against Defendants (including any request for indemnification by Administrator) in connection with the acts or omissions of the Administrator.” (Emphases added.) Also, the motion at ¶ 6 on page 10 and the proposed order at ¶ 7 provide: “To the extent of this Court’s personal and subject matter jurisdiction, Mr. Gentle and his employees and agents are immune from personal liability in the execution of their duties with respect to the performance of the action described in this Motion and in the Approval Order, <i>except for fraud, gross negligence, or disobedience of any Order of this Court.</i>” (Emphasis added.) 5. The motion at ¶ 15 also requests that “no bond be required of the Administrator, <i>provided</i> all monies received by the Fund, which includes all principal and interest earned thereon, shall be deposited in an investment agency account held by the Fund for the benefit of and titled in the legal name of the Fund and invested in instruments/securities comprised of (a) United States Agency, Government Sponsored Enterprises or Treasury securities or obligations (or a mutual fund invested solely in such instruments); (b) cash equivalent securities including SEC registered money market funds and/or collateralized money market accounts; and/or (c) deposit and similar interest-bearing, or non-interest-bearing accounts subject to Federal Depository Insurance Corporation protections as available.” (Emphasis added.) But who will monitor the Fund to ensure that all monies received by the Fund are so deposited? Accordingly, the Court is inclined to CONTINUE the motion to October 7, 2026, at 2PM in Department CX102 so that moving counsel may address the Court’s concerns, including by amending the motion, submitting the applicable settlement agreement(s) for in camera review by the Court, and submitting competent evidence in support of the motion. <i>The Court is mindful that the applicable settlement funding deadline could occur by 10/18/2026.</i> The Court will hear from counsel at the hearing.
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